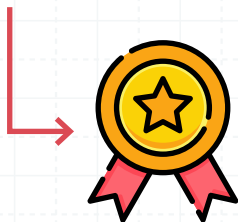


However, if this process proves challenging, an alternative is the basket approach.

BASKET APPROACH

Identifying a single winner within an industry.



Identifying a small group of industry leaders.



ADVANTAGES OF BASKET APPROACH

Spreading your bets

Reducing risk exposure

Safer approach

This method involves refraining from singling out one company but instead recognizing a small group of industry leaders. For instance, in the cement industry, rather than choosing a single winner, we invest across the top 4–5 companies, spreading our bets and reducing risk exposure. The basket approach is a safer approach, where we can instead invest in all companies and limit our risk exposure to any one company.

COMPETITIVE EDGE

A competitive edge is defined as an advantage a company holds over its competitors which is important in determining its success. Let's understand "competitive edge" with some examples.

Indian Premier League

Competitive Edge of these teams: